

5 Debt, credit and contractual synchrony in a South Indian market town¹

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Introduction

This essay does not deal directly with over-indebtedness – the social relations of debt that actually pauperise – but instead with an aspect of financial vulnerability that enables accumulation for some while preventing accumulation by others. It has been little noticed in the existing literature on development and finance. This is the problem of unsynchronised payments in conditions where wealth is being created through systems of multiple transactions that require individuals to buy and sell commodities as well as their labour. A simplified example would be the deals required at each stage in a commodity chain for cotton, at its very simplest: production, transport, ginning, spinning, yarn transport, weaving, transport and wholesale, garment manufacturing with outsourcing and homeworking, more transport and wholesaling and finally retail sales. Payment periodicities that are asymmetrical, in particular having to pay for a purchase at faster speeds than one is repaid for a sale, can increase the burden of working capital requirements. When working capital is borrowed at interest, interest payments must enter the cost structure and reduce the profits of firms. Lack of synchrony in payment systems therefore has the capacity to pauperise.

This capacity to pauperise has policy implications. Over the last 35 years it has been regularly suggested that official development aid or formal sector bank funds should be routed through the informal business economy (Harriss-White 1994; Thorat, 2008). What have mattered to policy makers are three development problems: poverty, inequality in access to credit and lack of access per se – 40 per cent of Indian households are still ‘unbanked’ (Fouillet 2009). Banks could reach the unbanked if those who lend money informally to the unbanked and financially excluded were formalised as intermediaries for the banks.

Behind this suggestion, however, lies the assumption that the terms on which formal credit would be onwards lent would not exacerbate poverty. And an important characteristic of poverty in India is its relation to self-employment. While many poor households eke out livelihoods on wages, the commonest form of production in India is actually not wage labour but self-employment. The self-employed are not always among the poorest but the distribution of their incomes overlaps with that of wage workers (Lerche 2010; Harriss-White 2012).

Liberalisation has unleashed an epidemic of self-employment. Since 1990, the number of firms in India has increased, from 22 million to 38 million in 2005, 95 per cent of which are own account enterprises. Since 1990, economic census data shows that the average number of employees per firm has declined from 3 to 2.4 (Harriss-White 2013; Vidyarthee *et al.*, forthcoming). If liberalisation had created general wealth, firms would grow and start employing more labour. On aggregate at the all-India level, the story is the complete opposite.

The question of why self-employment has expanded during the period of the reforms is a puzzle involving the relations in which firms of 'micro-entrepreneurs' are embedded that allow only a few of them to be entrepreneurial enough to grow. Lack of access to bank credit – being 'unbanked' – does not mean lack of access to credit. The terms and conditions in which firms are locked into credit systems may be more important for their opportunities to accumulate than access to banks *per se*. Over-indebtedness and financial fragility are usually addressed in terms of inability of debtors to repay. But, as papers in this volume show, the firms of the poor juggle credit as well as debt – and in many directions. They may be *forced* to be creditors to powerful sellers. Debtors may repay but be locked into structures of costs and returns, where interest on working capital is one of the factors forcing a tiny firm to tick over in a state of 'simple reproduction' rather than to save and invest in the process of 'expanded reproduction', which characterises conventional models of capitalist accumulation.

This essay explores the theoretical and practical implications of lack of contractual synchrony in an informal economy of small town India, in which asymmetry in payments has been an enduring feature of market exchange. Our data pre-exists the contemporary period of reforms and continues into its early phases. They are not up to date. But to update them would require very time consuming and extensive, 'embedded' field research, which is not currently possible. Even without updating, our field material is relevant to the theme of over-indebtedness because it enables us to explore the phenomenon of lack of synchrony in payments and to show how it has persisted under conditions of economic dynamism and social change. It sheds light not only on the simultaneity of debt and credit among the mass of the Indian workforce but also on the question of the cockroach-like ubiquity of petty production as a feature of modern Indian capitalism, which expands by multiplication and not through accumulation.

The essay is structured as follows. We start by problematising the persistence of a vast contractual diversity in the rural–urban economy that has been noticed but greatly simplified in economic theory. We examine the physical, economic and social factors at play in price formation and the making of transactions. It then becomes apparent that the role in reducing profits and producing poverty of unsymmetrical lags in payment for purchases and sales of commodities in chains of transactions has escaped research altogether. Through two episodes of field research on the business economy of a small town in South India over a period of two decades of rapid economic and social change, we can focus on the

institutions of business finance and the social character of the lagged payment systems that are normal practice in the commercial economy. From the heyday of the Green Revolution to the early reform period we find growing institutional intricacy and exclusive, segmented financial arrangements developing alongside considerable continuity in the major sources of commercial finance: formally rational banks, clan-finance and self-sufficiency. 'Weak' positions in contractual relations which force faster payment for purchases than repayment for sales accounted for two-thirds of cases in the random sample of the 1970s and characterised around half of the contractual norms in the set of top local firms we studied in the 1990s. At one and the same time, by requiring more working capital and interest payments than are needed for symmetrical payment systems, they can be, and are, pauperising; but we found that they also characterise the largest firms. These gain social prestige and economic control over production processes by advancing money and being able to bear slow payments. The fact of lack of synchrony in payments for commodities always requires additional information about other aspects of trade before it can be interpreted.

Contractual diversity in market exchange

The South Asian rural economy is characterised by persistent contractual diversity.² The state has not yet developed the capacity to enforce – or a material interest in enforcing – the framework of contractual law that it has created, under which contracts would be more homogeneous. **There is also no evidence of institutional convergence with the deepening of market exchange: technologies and contractual forms co-exist and persist in a rich diversity. Even in the era of globalisation 'the market' is most accurately understood as bundles of contracts – formal and informal, implicit and explicit – embedded in the social structure and relations of capitalism.** If we take labour contracts as an illustration, not only are they the result of physical capacity and 'human capital' in the form of education, they are also produced through what Bernstein (2009) and Lerche (2010) have called the emerging classes of labour. **Non-market institutions of gender, kin, caste, ethnicity and religion affect the making of market contracts and can reduce negotiating space to zero.**

In the theoretical literature, certain kinds of contract have been modelled as linking more than one 'market' – or being 'interlocked'. For instance, a single credit contract may lock labour obligations with land rental terms. Terms and conditions on water, land and money 'markets' may be fixed in a single contract, on money and commodity 'markets', or on land, labour, money and commodities.³

For analytical purposes, interlocked contracts are generally stylised⁴ and their existence conditions theorised – or stylised contracts are paired and compared. They have generally been explained through two theoretical approaches. **In new institutional economics, transactions on two markets are assumed to be voluntary and mutually beneficial; such a contractual form will internalise moral hazard, lower transactions costs and reduce the risk and uncertainty of counterfactual separate transactions.**⁵ In political economy, by contrast, interlocked contracts

are not assumed to be voluntary or mutually beneficial – indeed they can be ‘take it or leave it’. Bhaduri (1973) famously explained interlocked contracts as a ‘class-efficient’ way of extracting surplus. Whether such contracts can prevent technical change and growth in production is debated. Bhaduri theorises they act as an obstacle (1973); Rudra (1992) and Janakarajan (1986; 1996) claim that they don’t have to. Which school of explanation is superior is a matter of the realism of their assumptions and their logic, and that in turn not only requires a priori reasoning but also *ex post* empirical testing. But neither of these two approaches to explanation examines constraints on freedom derived from social status and identity.

We know that the social relations of identity pervade actually existing contractual relations and must affect the evaluation of the relevance of theory. In two rural areas of West Bengal, Rogaly found that contextual relations of class and identity (notably age, gender, caste, locality and political allegiance) led to 13 contracts being *named*. In the region of Arni in Tiruvannamalai district, Janakarajan (1996) recorded another range of labels for labour contracts.⁶ The labelling of contracts encapsulates a distinctive set of terms, conditions and social relations. We now know that a name may persist, while its role and significance can change.⁷ Nevertheless the contract’s ‘label’ sets limits to such ‘internal’ developments.

When it comes to towns however, and to mercantile transactions of money for commodities, it is remarkable that contracts are *not* named. This is due to there being fluidity in their (largely verbal) terms and conditions. Because of this fluidity, changed circumstances affecting the capacity to repay can lead to the renegotiation of a contract and non-compliance is rare. What traders call their ‘strong ethic’ may involve their ‘strong-men’ and can be reinterpreted in terms of power relations that underwrite the processes of accumulation (involving the secondary appropriation and the circulation of surplus through buying and selling) and social and economic differentiation through trade.

The argument here is concerned with the terms and conditions of the contracts that link commodities with money. It is based on sensitive empirical evidence about trade finance from Arni business surveys in 1973 and 1994. It explores the hypothesis that asymmetrical payments on informal contracts, that appear not to involve credit or loans while enabling the circulation of money, actually lock money and commodity markets in ways that aid accumulation by some and prevent it for many. An implicit null hypothesis – that contracts do none of this – underlies the following discussion.

Let us first consider a purely mercantile transaction.

The purchase and its price

Several factors over and above supply, demand and transaction costs affect the price of a commodity. Let us take the example of a basic food-grain – paddy-rice – to show the processes at work. The consignment size will affect the purchase price through the costs of bulking and transport costs to market. Larger

consignments may also have greater heterogeneity in quality – and quality and variety also affect price. Weighing, testing for adulteration and quality (bad grain and moisture) will add to the costs of the transaction and be transmitted in the price. Price is also affected by deductions that compensate for interest foregone on advance loans to the selling party. It is rational not to charge interest on advance loans only if the returns to trading the total marketed surplus of the indebted party (via the non-contractual obligatory element in such a loan that is understood but never discussed by both parties – under which the indebted seller sells to the lenders quantities that are far in excess of what is needed for debt repayment) exceed what would have been got from charging open interest on the loan plus the returns from the purchase and sale of the repayment of the quantity loaned. Delayed transactions may also contain informal bets on future prices. In this case, the purchaser will wish to shed risk and will implicate the producer in the risk by reducing the element of price compensation for delay. All these factors may also be affected by the relative social status of the parties – though we know that acquired characteristics, such as reliability and competence, are replacing ascribed social status, or becoming an increasingly important attribute of status in market transactions. Last but not least, the price is affected by the lag in payment that is possible and also by the degree of compensation for that lag.

The sale and its price

Much the same arguments apply to a contract of sale. Meanwhile, between the moment of purchase and that of sale, stockholding or inventory incurs direct costs: those of rent, the costs of protecting and managing stock and the costs of deterioration or loss in storage. Interest on money locked up in stock piles up, and the opportunity to trade further and profit from differences between purchase and sales prices is foregone while goods are stored. All these components add to the cost of inventory. These, plus transport costs and the direct costs of the sales transaction – search, negotiation and enforcement – will be reflected in the price of the sale.

Unsynchronised payment

If the velocity of repayment on the sale is the same as the velocity of repayment on the purchase, then the implication for working capital requirements is that they have to cover the cost of stock plus the cost of the payment-repayment period. Working capital requirements are reduced if the first buyer can delay payment to the first seller and is repaid promptly, or if the first seller deposits their repayment with the first buyer. They are reduced further if the first buyer does not have to compensate the first seller for this, either through interest or through the price received by the first seller. Working capital requirements for the first buyer are increased if the second buyer can delay repayment by a longer period than the first buyer. They are increased further if the second buyer does not compensate for the delay either in interest or in price.

Synchronised regular transactions between trusted parties would minimise the need for working capital throughout the system of markets and transactions. Evidently, variations in working capital requirements have direct implications for debt, credit and credit risk. It is not only the entry requirements, conditions of supply and demand, the risk environment, and the technological requirements and social organisation of the industry that affect credit needs, but also payment asymmetries – the differences in the length of repayment periods for purchases and sales. As we explained in the introduction, these have been little studied. For decades the rural development finance literature has focussed on either the producer and/or the poor. The literature has recognised value chains, but mostly avoided the implications for finance and for returns of there being long chains of transactions.⁸

We will now see how these asymmetries relate to trade, debt and credit, using the South Indian market town of Arni for our case material. If, as Montek Singh Ahluwalia, the Secretary of the Planning Commission is reported to have said, anything before 2000 is pre-history, then so be it. Pre-history has never been anything but the cradle of modernity.

The social embeddedness of informal business finance

Long before the invention of ‘value chains’, anthropologists who studied Asian towns were observing what they called ‘chains’, ‘hierarchies’ and ‘ladders’ of credit.⁹ They conceived the interlocking of money and commodity markets through payment asymmetries in terms of ‘transactions’ requiring ‘loans’, and we will first look at the social structure of such loans.

Clifford Geertz reasoned that since secure supplies require loans, traders have to be creditors but *wish* instead to be debtors. They have to lend widely to reduce the risk of the impact of default. But, even at high open or disguised interest, debtors are themselves secure under two conditions; first, if there are alternative sources of trade credit and second, if it is accepted that trade credit will never be fully repaid but juggled, rolled or rotated onwards. However, regardless of what traders would like, for traders generally to be debtors rather than creditors, as in Geertz’s model, requires there to be an apex net donor of credit – which cannot be sustained in practice – as well as a competitive alternative for the debtor – which Geertz himself rules out, pointing to the social controls on default in systems of bazaar credit.

The three distinguishing features of business credit ‘ladders’ are not simply features of developing countries, but are found extensively under advanced capitalism too. First, they are socially structured and exclusive (Weber’s ‘pietistic loans’). Second, this exclusivity expresses a tension. On the one hand, dispensing with the need for collateral and reducing transactions costs make trade credit efficient. On the other hand, in marginalising those ascribed with social un-creditworthiness, it stabilises chains of debt and credit at the expense of barriers to entry that may be unjust. Third, final effective demand, in the form of the customer, is weakly organised. Customers tend to take the credit terms of retailers rather than sending undistorted price signals through the system of transactions.

Over and above considerations of risk, as a result of the variety of social relations of business, interest rates may exhibit a broad spectrum: from zero interest on loans between members of a family, clan or caste, through subsidised development credit of banks and the nuanced contracts of trade credit in which interest is interlocked with prices, to the openly extortionate interest of shady moneylenders and pawnbrokers. In urban-rural credit 'webs' each transaction fetches a higher interest as it moves outwards and approaches the rural producer/labourer. The apex lender who runs a wholesale business or a rice mill lends at lower interest than his agents and sub-agents, but receives guaranteed supplies in return.

Segmented business finance in Arni in the Green Revolution era

Arni is an agricultural market town in northern Tamil Nadu that has grown from a population of 30,000 in the early 1970s, when we first got to work there, to three times that now. Four decades of rural-urban economic biography is the subject of a book.¹⁰ In this section of our essay we examine the synchrony of transactions in the dynamic era of the Green Revolution. Many institutions were involved in Arni's money markets. In 1973-4 the following facts were observed: (1) only a quarter of businesses had accounts with one or more of the four formal banks; (2) the stuff of trade involved credit relations with family and caste members; (3) petty firms participated in chit funds. Due to the risk of the manager absconding with the funds or subscribers who had received their full chit refusing to subscribe further, there was strong social control over these institutions; (4) pawnbrokers, jewellers and private moneylenders were regarded as degrading to borrow from; but were used by small businessmen for small urgent lump sums. Few pawnbrokers would lend to strangers, though they themselves were not averse to pawning backwards to banks. While bank interest on jewels was 12 per cent, pawnbrokers lend onwards at 18-24 per cent. Despite social opprobrium, the sector was easy to enter and increasingly crowded and its North Indian caste origins were being diluted. Caste affected access to pawnbroking and the terms and conditions of loans; (5) general traders and paddy wholesalers would lend to other traders at interest varying from 15-24 per cent for the former and 18-40 per cent for the latter, reflecting the economic security of the debtor; and (6) the largest informal loans could be got from 'private parties' on trust at the highest interest - 5 per cent per month, the point being that this was black money. Money markets were segmented and social control was exerted over the interest rates of each segment.¹¹

The social structure of business finance in Arni in the Green Revolution era

Table 5.1 summarises the social structure of trade finance. A third of firms were self reliant and neither borrowed nor lent. Although some of these latter firms

Table 5.1 Social exclusivity in finance: sources of commercial finance

<i>Caste</i>	<i>Type</i>	<i>Number of traders</i>	<i>% sample</i>	<i>Av annual turnover Rs'000</i>
Chettiar	urban	11	12	159.8
Muslims	urban	8	9	142
Naidus	urban	6	6	264*
Tullu vellala	rurban	22	25	77
Agamudaiyan mudaliars				
Vanniar – grounders (Naickers)	rurban	11	12	121
Sengunthar mudaliars	rurban	4	4.4	55
misc	misc	11	12	108
Acharis/gold	urban	5	5.6	28
Service castes	misc	8	9	7.2
SCs	emergent	3	3.3	6.3

<i>% traders reporting use of</i>												
	<i>1</i>	<i>2</i>	<i>3</i>	<i>4</i>	<i>5</i>	<i>6</i>	<i>7</i>	<i>8</i>	<i>9</i>	<i>10</i>	<i>11</i>	<i>12</i>
<i>Caste</i>												
Chett	72	–	9	–	–	–	18	–	9	36	–	64
Mus	68	12	–	–	12	12.5	–	–	–	25	–	50
Naid	16	–	–	–	16	16	16	–	–	33	–	33

TVAM	57	14	—	—	—	5	23	—	14	27	—	33
Vann	45	9	—	9	18	9	9	—	9	27	9	56
Seng	75	25	—	—	—	—	—	—	—	—	—	25
misc	73	18	—	9	9	—	18	9	9	—	—	36
achar	60	20	—	—	—	—	—	—	—	20	—	40
Serv castes	100	14	—	14	14	—	43	28	—	—	—	28
SCs	—	—	—	—	66	—	33	—	—	66	—	—

Source: author's survey (1974).

Notes

*=warped by silk business.

Columns

1 to 4= within family/within caste: 1 = investment funds without interest; 2 = working capital without interest; 3 =working funds with interest; 4 = consumption loans.

5 to 7 = other private sources.

5=investment funds at interest; 6=working capital without interest; 7=working capital at interest; 8=consumption credit.

9 to 11=bank finance.

9=investment funds at interest; 10=working capital at interest; 12=consumption credit.

13=simultaneous lending and borrowing 'ladder credit'.

For *Caste* abbreviations in the lower table – see the upper one. The 29 castes in the 1973 sample have been classified in 10 groups. Large long-established urban trading castes include Chettiars, Muslims and Naidus (28 per cent of the sample); large, long established 'rurban' castes include Agamudaiyan Mudaliars, Senguntha Mudaliars and Naicker-Gounders – 40 per cent of the sample; Service castes (not necessarily plying their traditional trades) include Acharis, Potters, Barbers, Washermen and Cobblers – 9 per cent of the sample) Scheduled Castes are 4 per cent and miscellaneous 12 per cent. The caste-economy may be summarised as follows: dominant urban/rurban traders – 81 per cent; service castes 15 per cent, scheduled castes 4 per cent.

were not small, 'self reliance' was one way of expressing the lack of creditworthiness characterising petty firms. Among the business elite, *prestige* was attached to the kind of self-reliance that enables a trader to lend, while not borrowing. Of the majority that wasn't small or 'self reliant', within-caste funds were more important for long-term investment than funds from other castes. While the within-caste funds were vitally important for start-up capital for small firms, both were important for working capital. Within-caste loans were regarded as supportive of 'self-reliance', which for many traders was more desirable than being in a Geertzian state of debt. It is among the four biggest urban castes that trade loans were taken at no interest: the creditor benefited from regular transactions, and developed status in the form of merit and prestige equal to or exceeding the interest foregone – even if they could not actually be valued on a money metric. These were the business fractions that also borrowed from banks at interest – it was the big, 'progressive' firm rather than the progressive caste that could be observed developing. By contrast, the dominant rural castes and the service castes avoided banks and used family finance and private moneylenders. Scheduled Castes (SCs) or Dalits (the most oppressed castes) had started to move into the market as owners of firms (vessels, bricks and cycles). Unable to access any funds from their families and castes, discriminated against by others and proud of their self reliance, they borrowed when necessary from private moneylenders and occasionally from banks. As they put it to us, because they were excluded from many institutions of informal finance, they were being forced to be 'modern' and to make use of formal institutions whenever they could.

In Arni, instead of a uni-directional progress towards instrumentally-rational capitalism, we found three dimensions governing trade or business finance. These were: *formally rational 'capitalist'* in Weberian terms (using banks and informal lenders at interest for investment and working capital); *'clannish'* (borrowing only from within the caste or family for investment, working capital and consumption credit) and *'self-reliant'* (no borrowing for investment or working capital (and little rolling payments)).

Table 5.2 illustrates that 40 per cent of the sample was sited at one point or other on this triangle and the remainder were scattered within it.

Although the three polar categories show less variation within than between them, and although the largest firms are most engaged with formal capitalist institutions of credit, it is clear that the pattern of the Green revolution era did not imply a simple process. In a process of urban-industrial commodification and

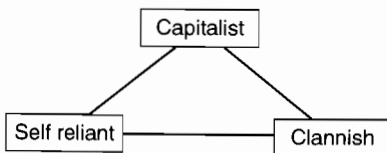


Figure 5.1 Dimensions governing trade or business finance.

Table 5.2 The disembedding of finance – 1973–4

	% of firms exhibiting polar characteristics of		
	capitalist	clannish	self-reliant
Urban castes	20	8	16
Rurban castes	17	11	35
Service castes	–	15	28
SCs	100	–	–
Average Firm size Rs'000	16	16.5	78
Average start date	1957	1957	1954

Source: author's survey (1974).

growth, the urban economy could not be shown to have been moving from the base to the apex of the triangle. Some very small firms – those of SCs – were using banks, as were small firms dealing in agricultural products.

Payment asymmetries in Arni in the Green Revolution era

The non-self-reliant businesses can be classified according to whether they buy and sell on credit, sell but do not buy on credit, buy but do not sell on credit, or neither (Table 5.3).

Firms rolling credit in both directions tended to be owned by urban castes, to be much larger firms, to deal in products of the agrarian economy and to be wholesale in scale. Self-sufficient firms dealing in spot transactions for cash tended to be rural castes, to have small gross outputs, to deal in goods of the industrial economy and to be retailers. Just as Geertz concluded, consumers were not well organised and lending to them was felt to be risky unless they were on government salaries. In between were groups with transitional economic characteristics. But in the 1970s, Arni's 'value chains' were shorter than in the twenty-first century. Of the most elaborate, silk, which involved transactions with yarn suppliers in Bangalore and markets in Chennai (then called Madras), half the firms did business on cash, only the largest firms were bound into relations of rolling credit on purchases and sales.

Of the firms delaying payment for both purchases and sales (or simultaneously lending and borrowing from those with whom they transacted), a third had synchronised payment periods. But in two-thirds of commercial firms, traders reported they had to wait between 2 and 30 times as long to be repaid for their sales as they paid on their purchases and were forced to borrow funds from fourth parties.

Payment asymmetries in Arni in the early reform period

Money is hard here.
(private lender, 1994)

Table 5.3 Credit relations of firms, 1973

<i>Credit used for purchase/sale</i>	<i>% sample</i>	<i>% urban</i>	<i>Average annual output Rs '000</i>	<i>Average date of start</i>
+/+	33	37	200	1956
-/+	20	33	70	1956
+/-	13	18	26	1957
-/-	34	13	31	1956

<i>Credit used for purchase/sale</i>	<i>% firms traditional</i>	<i>% Firms modern</i>	<i>% Firms mfr</i>	<i>% Firms wh</i>	<i>% Firms ret</i>	<i>% clientele mainly urban</i>	<i>% clientele mainly rural</i>
+/+	75	25	13	40	75	34	66
-/+	55	45	—	11	94	34	66
+/-	36	64	0	19	72	72	28
-/-	33	66	10	6	90	46	54

Source: author's survey (1974).

Notes

mfr = manufacturing; wh = wholesaling; ret = retailing.

In 1994 we were able to approach a group of 52 mercantile firms and discuss their finance. The set itself was not random but represented the town's largest firms plus those randomly selected in 'sensitive' sectors – notably private moneylending, pawnbroking and goldsmithing, scrap and re-cycling (a monopoly of Muslim traders) and sectors where Scheduled Caste traders work (fruit, vegetables, meat and cosmetics). These firms all generate profit from purchases and sales, and some also interleave productive activity with commerce. We asked whether there were regularities about payments and the question was meaningful to the owners of firms. We also asked whether contracts were given vernacular names, but the answer was negative. We then asked a new set of questions about payment arrangements. Some 52 firms were able to provide 59 sets of contractual norms for purchases and sales, since some firms worked in more than one commodity sector – see Table 5.4.

It is obvious that considerable diversity in the payment arrangements persists into the reform period.

Where the repayment velocity on sales is greater than that for purchases, the reference trader was earlier hypothesised to be in a 'strong' position. Where the reference trader had to pay back more quickly than he was repaid, we deduced that he was in a 'weak' position – because he required more working capital (at interest) than if repayment periodicities were synchronous. While the quantitative results are of no statistical significance because the set is not a random sample, they may be useful as a basis of further interpretation and research.

Only 12 per cent were in 'strong' positions – about the same proportion as in the 1970s. These firms are typically are paid in cash for their sales, while they may delay payment on their purchases by anything from two to over 30 days. While these included two of the biggest businesses (cloth and buses) the rest were all petty artisan crafts producing on advance payment (picture frames and gold) or Scheduled Caste petty traders in relations of economic clientelism (cosmetics and coconuts). A third reported making symmetrical payments – whether through advance payments (rare) in cash, or in long but symmetrical delays. It looks as though there was little change to the minor importance of synchrony. At 14 per cent of contracts each, symmetrical payment arrangements were bunched between spot contracts (involving all sorts of enterprises, including some of the most closely state-regulated commodities (e.g. alcohol and kerosene)) and contracts with long bi-directional delays of over 30 days (notably for rice and silk).

However, half the reported contractual norms involved the repayment velocity on sales being slower than payment on purchases – our hypothesised 'weak' position. Advances were given on purchases with delays of over 30 days on sales in 17 per cent of cases, while cash purchases had to contend with delays of 16–30 days in repayment on sales in a further third. Leaving moneylending and pawnbroking businesses aside, few were firms with obvious economic attributes of weakness – such as small size. Most were substantial enterprises by local standards, dealing in silk, agricultural inputs and products (groundnuts, bran and rice), provisions and scrap. In all these sectors, competition for supplies is crucial to accumulative success.

Table 5.4 Payment asymmetries – subset of 52 firms, 1994 (in % of total)

<i>Sale</i>	<i>Purchase contract</i>					<i>Number of contracts</i>
	<i>Advance</i>	<i>Cash</i>	<i>2–15 days lag</i>	<i>16–30 days lag</i>	<i>>30 days lag</i>	
advance	2	3				3
cash	3	14	2	3	6	17
2–15 days lag	5	3	2	–	–	6
16–30 days lag	3	33	5	2	–	8
>30 days lag	17	7	2	3	14*	25
Number of contracts	18	18	6	5	12	59

Source: author's survey (1994).

Notes

N = 59 = 100%.

* Some lags were up to 90 days.

Except for Scheduled Caste firms, we have not yet classified firms by caste, by clientele and by the degree of urbanity and rurality of their business as we did for the 1970s.

Lagged payments could develop considerable complexity. In silk, one single case reported to us involved delays of 60 days for raw silk, 90–120 days for gold *zari* thread, 40 days for dyes and 30 days in payment for woven sarees, the latter with a 10 per cent compensation in price. Table 5.5, presenting the behaviour of a subset of 15 firms with the largest gross outputs, confirms that being a contractual creditor is more strongly associated with growth and size than being a debtor, and lends some support to the Geertzian hypothesis. But Table 5.6, which illustrates the **institutions funding the biggest firms, reveals that the elite firms in the town certainly did not seek to be debtors. On the contrary, they developed and relied on their own funds and actively avoided debt if they could.** In the end this self-reliant behaviour casts doubt on Geertz's hypothesis, at least as it applies to conditions in this town in the early reform period.

In the 1990s, about the same proportions of the 15 very largest local firms bought and sold goods with the same immediate (cash) and long (over 30-day) symmetries as in the larger set of 52 – 16 per cent and 13 per cent respectively. A smaller proportion of the top 15 (35 per cent as opposed to half of the set of 52) operated from apparently 'weak' operating positions. In 13 per cent of cases firms purchased on cash and were reimbursed for sales in over 13 days; while in 22 per cent of cases they gave advances on purchases with reimbursement on sales of over 30 days. We cannot avoid concluding from Tables 5.5 and 5.6 that – holding other things constant – the 'weak' position of self-sufficiency (Ss in Table 5.6) does indeed involve considerably more working capital than is the case for symmetrical or 'rapid-receiving' contracts. But the greater working capital requirement certainly does not constrain accumulation. Rather, the capacity to operate from the 'weak' position with more working capital than would be needed with symmetrical payments seems to signify business status, prestige and the capacity to be a 'net donor' of commercial credit. In this un-random set of firms, wherever contractual conditions are such that production can only take place on receipt of advance payments, we find the firms to which payments are advanced are most likely to be small. While we cannot infer process from a cross section in this case, a fruitful hypothesis for research, and one with far reaching ramifications given the growing importance of self-employment in India's informal economy, is that **economic clientelism is a constraint on accumulation.** It is the equivalent in the commodity economy of unfree or forced labour.

As well as having implications for working capital, contractual behaviour has implications for the taking of loans. Whereas in the 1970s we analysed contractual synchrony as being seamlessly intertwined with rolling credit relations, in 1994 we asked about trade loans separately and describe them separately here.

Financial institutions in the early contemporary period

Far from becoming more streamlined and/or dominated by state regulation, the financial architecture of Arni grew more complex with the passage of time. In the era of early liberalisation, the following trends were apparent: (1) the banks were widely reported by firms to be 'unavailable for us', i.e. unable to supply

Table 5.5 Contractual norms of fifteen firms with gross outputs exceeding Rs1 Crore, 1994

<i>Sale</i>	<i>Purchase</i>					<i>Number of contracts</i>
	<i>Advance</i>	<i>Cash</i>	<i>2–15 days lag</i>	<i>16–30 days lag</i>	<i>>30 days lag</i>	
advance	–	–	–	–	–	–
cash	7	13	–	13	7	6
2–15 days lag	–	7	–	–	–	1
16–30 days lag	8	–	1	–	–	1.5
>30 days lag	22	13	1	–	13	6.5
Number of contracts	4.5	5	0.5	2	3	15

Source: author's survey (1994)

Note

1 crore is Rs10million and the Rs \$ exchange rate was about 33.3.

Table 5.6 Principal credit relations of fifteen firms with gross outputs exceeding Rs1 crore, 1994, (Rs cr)

Type	Gross output	Credit source
Silk	12	Ss
Cloth	7	Ss
Groundnut/paddy-rice	6.3	I
Cloth	4	Ss
Silk	3.6	Ss
Fertiliser/ paddy-rice	3	Ss
Rice Mill	3	Caste
Petrol	3	I
Rice Mill	1.6	Caste
Rice Mill	1.5	F
Buses	1.3	F
Lorries	1.3	I
Bran	1.1	I
Bakery	1.0	I
Thread/yarn	1.0	I

Source: author's survey (1994).

Notes

One crore is Rs10 million at a rate of about 33.3 to the US\$ in 1994.

Ss=own funds/'self-sufficient'.

Caste=caste network.

I=informal finance.

loans openly for trade, or able only at excessive transactions costs compared with alternatives. Bank interest was 12–18 per cent; (2) family and caste remained vital sources of trade finance. In the case of Arni's Marwari pawnbroking elite, this meant a family *sangam* cum *bank*, which excluded non-Marwaris. But other smaller-scale family banking also took social exclusivity for granted; (3) unregulated chit funds had proliferated. Only two out of over 500, were thought to be registered. Conflicts of interest were likely to be at play, because the regulators themselves were alleged to be investing. Chits could amount to Rs1–2 lakhs over periods of 1–2 years; (4) pawnbroking had also expanded. The largest 5–6 firms were reckoned by a senior advocate to have up to Rs5 crores available.¹² For those forced to borrow, terms and conditions had deteriorated, while debt collecting agents of pawnbrokers (their 'strong men') had started to lend on their own account; (5) general traders continued to lend at much the same interest as in the 1970s, while paddy-rice wholesalers and agents were under threat of boycott and non-compliance in retaliation for much malpractice of their own; (6) from an estimated five or six shadowy 'private parties' mentioned with fear in the 1970s, the number of private lenders had trebled. The private financier had become a respectable profession eligible for entry to the Rotary Club or as an occupation for the next generation 'qualified' with MBAs. For urgent loans, interest could rise to 50 per cent ('30 per cent is rather low' mused one). An office-bearer of the Chamber of Commerce commented that

private parties could 'bully local officials'. Certainly their growing armies of debt collectors could bully debtors; (7) temple trustees, officials, bank employees, teachers and lawyers also lent their savings into the system of money markets through finance companies. Only two of the estimated 160 of them were registered. Contracts took the form of informal promissory notes or verbal agreements, with interest of up to 42 per cent reported to us; and (8) moneylending and 'safe deposit' was also becoming a common element in the portfolios of silk and rice firms. Nonetheless, informal finance was working loose from commerce. Reputation remained the crucial collateral, and could be inherited. Much of this modest finance capitalism was black and its high interest encouraged investments with short-term returns.

Table 5.7 maps credit for business onto the concepts used for the credit analysis of the 1970s.

In the 1990s, formal credit was not necessarily being used by the biggest firms. It was accessed by firms dealing in highly regulated commodities, by agents of the corporate sector and – despite reports from north India of persistent exclusion of Dalits from formal bank credit¹³ – by a few small firms run by Scheduled Caste traders. Informal credit institutions were twice as frequently used. Caste-based finance – 'clannish credit behaviour' – was still vital to some of the largest agro-commercial firms. The proportion of self-reliant firms looks to have remained roughly constant. At the two extremes, some of the largest firms valued their financial self-sufficiency and two kinds of small firms – the craft enterprises and most firms run by Scheduled Castes – were forced into self-sufficiency. While it was not surprising to find pawnbrokers and professional moneylenders taking deposits, other firms also did this (in agro-trades and wine) and, irrespective of their licence, were effectively functioning as small, unregulated banks.

While we cannot make a rigorous comparison between the survey data for 1994 and that for the 1970s, it is clear that the nationally integrated urban economy¹⁴ was still being governed by the three credit spheres identified in the 1970s and that there was no dramatic shift in their relative importance. Big firms in particular were not using formal banking institutions. That the era of early liberalisation was not associated with a movement of large firms towards using banks reinforces the evidence from research on labour relations, which shows that India's liberalisation is rooted in the informal economy. The assumption that instrumental rationality is associated exclusively with state-regulated institutions needs further investigation.

Table 5.7 Credit relations of a subset of firms – 1994 – (%)

<i>Formal capitalist</i>	<i>Informal capitalist</i>	<i>Clannish</i>	<i>Self-sufficient</i>	<i>Lending out</i>	<i>Taking deposits</i>
13	25	13	32	15	5

Source: author's survey (1994).

Conclusions

We hypothesised that asymmetrical payments on contracts that appear not to involve credit or loans actually lock money and commodity markets in ways that aid accumulation. We find that this is *not* disproved, but for reasons we did *not* expect. The most successful local firms lock money and commodities through contracts requiring them to bear risk and to finance net delays in payment. The least successful firms are those that cannot produce at all, except on money advances and/or prompt payments. The terms of economic clientelism associated with petty trade appear to constrain accumulation.

While they had to be net-creditors to ensure supplies, the most successful firms did not seek to be debtors, relying instead on their own funds and even 'holding deposits' for rural clients. Geertz's argument, that firms have to be creditors but seek to be debtors, did not hold for the commercial economy of the town of Arni in the 1990s. We conclude that by themselves, payment velocities and asymmetries are not solid indicators of accumulative power. Information on their implications for price formation – particularly the compensations in price that may be made for the (implied) interest on delayed payments – is essential in order to make sense of them.

We also conclude that debt relations and institutions mean different things for different kinds of business. For instance, for low castes the formalities of the bank are the default option since Dalits (the lowest Scheduled Castes) are excluded from other kinds of informal business finance; while for others, the use of banks is the result of dealing with heavily state-regulated items, where their accounts and money dealings have to be open to official inspection (e.g. medical drugs, kerosene and liquor). For another instance, self-reliance can either mean a lack of ascribed creditworthiness (in the case of low caste, small firms: 'fruit and veg' for example) or a matter of high prestige (for the upper castes in commerce and for big firms, both exemplified by silk businesses).

So we also conclude that the negotiation and regulation of payment asymmetries persist in expressing economic and social status, prestige and social exclusivity through a period of economic dynamism. During early phases of 'liberalisation', informal credit institutions proliferated. Trade credit was out of state control. There was no evidence of a movement towards the use of formal sector bank credit and every indication that family, caste and informal institutions remained powerful regulators of the business economy. These institutions may be efficient in terms of transactions costs but they are also social barriers, inequitable and differentiating. Hence, in explanations for such contractual behavior, the working of institutions of social identity must be incorporated alongside information and transactions costs, competitive conditions and features of industrial organisation.¹⁵

Although the evidence does not support a rigorous comparison, there also appeared to be no major change to the patterns of synchrony in payments, none to the value attached to financial self-reliance nor to the social relations associated with the more rapid receipt of funds in selling than in buying or with

money advances on transactions within the town.¹⁶ 'Modernity' is not a process of one-way change. Nor were consumers better organised with the passage of time. Consumer credit was still restricted to public sector employees. The hire purchase (on instalments) of consumer durables was still also restricted, since it was experienced as risky.¹⁷

Clearly, the extent to which economic and institutional change has undermined the arrangements reported here – which appear to have remained stable through the liberalisation of the 1980s and early 1990s – is a question demanding field research. This is a sensitive subject and not to be explored using the 'rapid' methods that are currently in vogue, let alone 'participatory' ones.

Finally, these results have implications for the policy question with which we began. While it has been suggested that official development aid or formal sector bank funds should be routed through the informal business economy in practice, many businesses have avoided banks; throughout the last four decades they have been put to such use through virement. For this engagement with the informal economy to become official policy, it would have to be accepted that some such lending would be highly risky. Much would be transacted at illegal interest rates; and all would be socially differentiating. Unless and until firms find it to their advantage to mediate all their transactions through banks on regulated terms and conditions, there is little possibility that such a routing of funds would do anything but reinforce the contractual relations that prevent accumulation by the petty producers and traders in the informal economy. This is precisely the class for which the Indian state has no coherent development project.¹⁸

Notes

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- 2 See Rogaly (1996) for labour; Majid (1994) for land and Harriss-White (1996 a) for commodities.
- 3 Bhaduri (1973); Janakarajan (1993, 1996); Crow (2001).
- 4 This stylising may remove one of the most important feature of a contract – its internal variation.
- 5 Braverman and Stiglitz (1982); Bell and Srinivasan (1989).
- 6 *Mathu-aal* – cattle work exchange; *padiyal* – permanent labour with fixed pay; *kootali* – permanent labour with share payment subdivided between half permanent work – *arai* and full permanent work (including pledging female labour too – *muzhu*). *Dinakooli* refers to the casual daily wage contract.
- 7 *Kootali* can now involve fixed pay. *Dinakooli* now more often means piece rate pay rather than daily wages.
- 8 The article by Long and Villarreal (1998) is an exception.
- 9 Geertz's *Mujokur* (1963), Fox's *Tezibazaar* (1969); Hazlehurst's *Ramnagar* (1969) and Mines' *Pallavaram* (1972).
- 10 Harriss-White (ed.) (forthcoming).
- 11 Harriss (1981); Harriss and Harriss (1984).
- 12 A lakh is 100,000 while one crore is Rs10 million. The Rs to \$ exchange rate in 1994 was 33.3.

- 13 Thorat and Newman (2007); Prakash (2010).
- 14 Basile, forthcoming.
- 15 Extremely well instanced in the case of chewing tobacco in Palladam (Harriss-White 1996b).
- 16 See Polzin, forthcoming and Harriss-White (2013) for changes in rural–urban relations involving money advances.
- 17 Polzin (forthcoming) shows that this has now changed and mobile fire purchase sales of a range of goods is now common in the surrounding villages.
- 18 Harriss-White (2012).

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